

MGT495: Topics in Finance - International Finance

SUMMER 2026 (June 29, 2026 – September 5, 2026)

COURSE INFORMATION

PROFESSOR	Mitch Warachka
EMAIL	mwarachka@ucsd.edu
OFFICE HOURS	By appointment
	Note: I fully expect to meet students outside of class (in person or on Zoom) and will make myself accessible as often as needed.

TEACHING ASSISTANT	Sebastian Cifuentes
EMAIL	cifuentes@ucsd.edu
OFFICE HOURS	By appointment

This course runs on the Executive MBA schedule. It meets in-person 3 Weeks over the quarter (see exact dates below), and runs online the rest of the weeks asynchronously, with coordinated interactions with teams and the professor (see schedule below).

In-Person Meeting Times:

- Saturday, July 18th from 8 am to 12 pm in OTRSN 1E106
- Saturday, August 15th from 8 am to 12 pm in OTRSN 1E106
- Saturday, September 12th from 8 am to 12 pm in OTRSN 1E106

DESCRIPTION

This course is intended to provide students with the necessary foundation to investigate the risks and rewards associated with operating and investing internationally. The course uses a combination of online lectures and in-class case discussions. The lectures develop the theoretical foundations required for case analyses.

OBJECTIVES

By the end of the course, students are expected to be able to:

- Utilize capital budgeting techniques in an international setting
- Describe how exchange rate fluctuations yield transaction, translation, and competitive risks
- Design and analyze strategies using forward, option, and swap contracts to manage currency risk
- Design strategies for managing the political risk involved in cross-border transactions
- Explain the interactions between fiscal policy, monetary policy, trade, and currency fluctuations

MATERIALS

- Harvard Business School (HBS) cases are listed on Canvas.
- There is no textbook.

ASSIGNMENTS and GRADING

Assignments	# of Assignments	Point Value
Class Participation	N/A	10%
Assignments (Group)	2	60%
Case Submission (Group)	1	30%
Total		100

SCHEDULE

Module	Wk	Date	Meet*	Topics	Readings	Assignment (Due Date)**
Module 1	1	07/04	Online	- Theories regarding currency movements - International Capital Budgeting - Incorporating Political Risk into CAPM	Slide Decks - Exchange Rate Preliminaries - International NPV - Political Risk	
Module 2	2	07/11	Online	Currency Risk	Slide Decks & PDF Files - Currency Risks - Futures Contracts Excel Solutions - Currency Risk - Hedge Pharma Oil	
Module 3	3	07/18	In-Person	- Ariel Case - AES Case	HBS cases - Groupe Ariel S.A.: Parity Conditions and Cross-Border Valuation (Brief Case) - Globalizing the Cost of Capital and Capital Budgeting at AES Excel Solution - Ariel Brief Solutions - AES Brief Solutions	- Reflect on relevance of cases - Group Sign-up (Group)
Module 4	4	07/25	Online	Derivatives for currency risk management	PDF Files - Forward Contracts - Forward Example	
Module 5	5	08/01	Online	Derivatives for currency risk management (continued)	PDF Files - Options - Swap	
Module 6	6	08/08	Online	Trade, Monetary Policy, and Fiscal Policy	Slide Decks Trade, Monetary Policy, and Fiscal Policy	First Assignment (Due: 8/14; Group)

RADY SCHOOL OF MANAGEMENT

Module 7	7	08/15	In-Person	■ AIFS Case ■ Disney Case ■ General Motors Case ■ Tiffany Case	HBS cases ■ Hedging Currency Risks at AIFS ■ Walt Disney Company's Yen Financing ■ Foreign Exchange Hedging Strategies at General Motors: Competitive Exposures ■ Tiffany & Co.—1993 Excel Solution ■ AIFS Brief Solutions ■ Disney Brief Solutions ■ GM Brief Solutions ■ Tiffany Brief Solutions	■ Reflect on relevance of cases ■ Choose a case to submit (Group)
Module 8	8	08/22	Online	■ International Portfolio Theory	Slide Decks ■ International Portfolio Theory Excel Solution ■ Sharpe ratios	
Module 9	9	08/29	Online	■ International Portfolio Theory (continued)		■ Case Submission (Due: 9/04; Group)
Module 10	10	09/05	Online	■ Review ■ Case Submission		■ Second Assignment (Due: 9/11; Group)
Module 11	11	09/12	In-Person	■ Innocents Abroad Case	HBS Case ■ Innocents Abroad: Currencies and International Stock Returns Excel Solution ■ Innocents Brief Solutions ■ Alternate Index Correlations ■ Equivalence	■

*In-person (Location: **OTRSN 1E106**) and Online (Canvas and Office Hours)

**All assignments/assessments are due by 11:59 p.m. Pacific Time on the due date.

Disclaimer: Please note that the specifics of this Course Syllabus are subject to change, and you will be responsible for abiding by any such changes. Your instructor will notify you of any changes.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at: <http://www-senate.ucsd.edu/manual/appendices/app2.htm#AP14>

AI USAGE

The use of AI tools such as ChatGPT, Claude, etc. is encouraged. AI has the potential to streamline and augment your work, but you should use AI with the following caveats:

1. AI can only augment your work, not replace it. For instance, AI can improve the quality of your writing, identify new sources, provide high-level summaries of complex ideas, and test your arguments for logical inconsistencies. AI can also stimulate new ideas or refine your original ideas. However, you cannot use Generative AI tools to create content that you simply put your name on. This constitutes an academic integrity violation.
2. If you use Generative AI for an assignment, be transparent about how it was used in a footnote or citation.
3. Large language models have issues with hallucinations and inaccuracies (e.g., generating fake citations, failing logical arguments, misrepresenting sources, etc.). You are fully responsible for the content you submit and will be graded accordingly

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. No accommodations can be implemented retroactively.

Please visit the OSD website for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.